

CODE

Ventures and member loans

Draft for member review | 29 September 2026

Plain language summary

Three pots: a personal loan capped at \$5,000, business help capped at \$10,000 in a year, and a Nation venture with its own books. A loan that can be forgiven by council alone is not a loan. Forgiveness takes a member vote.

Working draft. Ceilings are proposals. Not adopted law. Laws cited were read on the Justice Canada consolidations current to 21 September 2026, the Charter and Constitution Act, 1982 consolidation, and the Treaty No. 8 text published by Crown-Indigenous Relations and Northern Affairs Canada. This draft is not a legal opinion.

Part 1. Three separate pots

1.1 Money under this instrument is one of three things. Mixing them in one account is a breach. The finance officer must split the accounts within 14 days of this instrument coming into force. If the accounts are still mixed on day 15, new loans and new venture payments stop until they are split.

Pot	What it is	Ceiling in this draft
Member loan	A personal loan that must be repaid	\$5,000 outstanding per member
Member business help	A contribution to a member's own business	\$10,000 in one financial year
Nation venture	A business owned by the First Nation	The spending instrument applies to every payment

1.2 The ceilings are draft amounts. Electors may change them before adoption. They are not a description of any loan already made.

Part 2. Member loans

2.1 A member may hold one loan at a time. The written agreement must state the amount, the 2 percent yearly interest if the budget sets no other rate, the monthly payment, and a term of not more than 24 months. There is no oral loan. A payment without a signed agreement is a debt of the person who paid it, due within 30 days.

2.2 The finance officer decides a complete application within 30 days, in writing, against the ceiling and the arrears rule. A councillor must not decide it. A decision by a councillor is void.

2.3 If a payment is missed, the finance officer must send a written notice within 14 days. After 60 days in arrears, the member receives no new loan. Set-off against a program payment is allowed only if the loan agreement says so. Set-off against a treaty annuity is prohibited. A staff member who sets off an annuity must reverse it within 7 days and must not handle loans for 1 year.

2.4 Council must not forgive a loan. Forgiveness passes only by a member vote: a majority of the votes cast, with at least 25 percent of the electors voting, on 21 days' notice. A council forgiveness is void, and the finance officer must restore the debt on the books within 7 days.

Part 3. Member business help

3.1 The applicant files a short plan: what the business does, what the money will buy, and how it will be recorded. A panel of the finance officer and two electors named by the appeal body decides within 45 days. Council does not decide. A council approval is void.

3.2 The recipient must file a one page report within 12 months: what was bought, and whether the business is still operating. A recipient who does not file is not eligible for another contribution until the report is filed. The finance officer must send a reminder 30 days before the due date.

Part 4. A Nation venture

4.1 A venture has its own books. The finance officer must post a quarterly result within 30 days of quarter end. A loss is not covered by a transfer from another pot unless the spending instrument is followed for that transfer. A quiet transfer is void and must be reversed within 14 days by the person who made it.

4.2 A venture must not hire the chief, a councillor, or their immediate family except under the family-contract rule in the spending instrument.

Part 5. Amendment

5.1 Council must not amend this ventures and loans instrument by resolution. A resolution that purports to amend it is void on the day it is signed. The appeal body must post that fact within 14 days.

5.2 An amendment passes only if a majority of the votes cast are yes and at least 25 percent of the electors cast a ballot.

5.3 The electoral officer must post the full proposed text at least 30 days before the vote. A vote held on shorter notice is void.

5.4 An amendment that removes or weakens a spending limit, a signature rule, a ban on voting on one's own pay, honorarium, travel, or contract, publication of financial statements or the remuneration schedule, a term limit, the fixed election date, the conflict register, a recusal rule, a right-to-information deadline, the whistleblower channel to the appeal body, the independence of the appeal body, the off-reserve councillor position, the rule that one person must not commit more than \$10,000, the open invitation for a contract over \$25,000, the public mandate and the quarterly report, the removal petition, or the rule that members, not council alone, amend a law does not pass under 5.2. It passes only if a majority of all electors vote yes. If that count is not met, the amendment is void.

5.5 The electoral officer must post the count within 3 days.

Part 6. Review and coming into force

6.1 The appeal body must review this ventures and loans instrument every 4 years, counted from the day it comes into force, and must post a written report within 60 days after that anniversary. The report does not amend this ventures and loans instrument.

6.2 Within 90 days of that report, council must either put a recommended amendment to the electors under Part 5, or post written reasons for not doing so. If council does neither, the appeal body must post that omission on day 91, and council honoraria stop on day 91 until one of those two things is done.

6.3 this ventures and loans instrument comes into force on the day after the electors approve it under Part 5. Until that day it is a draft. It does not repeal an election code, by-law, or policy already in force.

6.4 Where a law already in force sets its own replacement rule, this ventures and loans instrument replaces that law only if the electors also meet that rule. A lawyer should compare the two texts before the vote.

6.5 The records officer must keep the adopted text posted for at least 10 years. If it is not posted by day 10 after the vote, the records officer must post a written reason that day, and the appeal body must appoint a replacement records officer within a further 10 days.

This is not a legal opinion. A lawyer, or a person whose work is First Nation governance, should review this draft before members vote. A by-law that conflicts with the Indian Act, the Criminal Code, or another federal law is of no effect to the extent of the conflict. Police and Crown prosecution of a band by-law is uneven. The Minister's steps under the First Nations Financial Transparency Act, section 13, are discretionary. The consequences in this instrument are internal for that reason.